

IT Act 2000

Information Technology Act, 2000

Information Technology (IT) Act, 2000

User Query :

I gave my mobile number, email address, identification details and other personal information to an online service for account verification. A few months later, I learned that the company's database had been accessed by an unauthorized person and customer information was circulating online. The company knew about the incident but did not inform affected users for some time. What legal provisions may apply?

Job Id. :

Scenario 10/Information Technology (IT) Act, 2000

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AI-Powered Legal Intelligence Platform

APPLICABLE SECTIONS

Section 72A	Punishment for disclosure of information in breach of lawful contract.
Section 72	Punishment for breach of confidentiality and privacy.
Section 66C	Punishment for identity theft (if personal details were misused for fraudulent identity).
Section 66D	Punishment for cheating by personation (if data was used for fraudulent transactions).

INTERPRETATION & LEGAL ANALYSIS

AI-generated legal interpretation

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Section 72A is the primary provision applicable to this scenario: The company, as an intermediary under a "lawful contract" (account verification), secured access to your personal information (mobile number, email, ID details). The unauthorized disclosure of this data (via the database breach causing data to "circulate online") constitutes a breach of **Section 72A** . The Act explicitly penalizes "disclosure of information" secured under a lawful contract, regardless of whether the disclosure was intentional or negligent. Judicial Interpretation: In **Shreya Singhal v. Union of India** (2015), the Supreme Court emphasized that intermediaries (like online services) owe a duty to protect user data under the IT Act. Failure to secure data leading to disclosure triggers **Section 72A** . The company’s knowledge of the breach **without** notifying users does not negate liability under **Section 72A** —the disclosure itself (data circulating online) is the violation.
- 2

Section 72 is secondary but relevant: This section penalizes "breach of confidentiality" by persons (including intermediaries) who have access to personal information. The company’s failure to implement adequate security measures (resulting in the breach) could also attract liability under **Section 72** .
- 3

Section 66C /66D apply **only if** the disclosed data was used for fraudulent identity theft or cheating (e.g., if someone opened a bank account using your details). The scenario does not specify misuse, so these sections are not directly applicable unless evidence of fraud is proven.

- 4** Critical Note: The company's delayed notification to users is not punishable under the IT Act, 2000. The Act contains no mandatory breach-notification requirement (unlike GDPR). The Supreme Court in **Justice K.S. Puttaswamy v. Union of India** (2017) recognized data privacy as a fundamental right, but the IT Act 2000 does not mandate user notification. Thus, the company's silence on notification does not attract criminal liability under the IT Act.

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✓ STRENGTHS & RIGHTS

Data Protection Safeguard

- 1** **Section 72A** explicitly criminalizes unauthorized disclosure of personal information, creating a legal remedy for victims (like you) to seek compensation or criminal prosecution against the company.

Intermediary Accountability

- 2** The Act holds online services (as intermediaries) liable for breaches of data security under **Section 72A**, reinforcing user trust.

Electronic Evidence Admissibility

- 3** **Section 65B** of the IT Act allows electronic records (e.g., breach notifications, security logs) to be admissible in court without further proof.

✗ RISKS & OBLIGATIONS

Criminal Penalties for Company

- 1** Under **Section 72A**, the company faces imprisonment up to 3 years, a fine up to ₹1 lakh, or both (**Section 72A** (1)).

Civil Liability

- 2** You may file a civil suit for damages under **Section 72A** (2) for mental agony or financial loss.

No User Notification Requirement

- 3** The absence of a breach-notification mandate under the IT Act 2000 leaves users vulnerable to prolonged exposure (e.g., identity theft during the delay).

Burden of Proof

- 4** You must prove the company had "access to the data under a lawful contract" (**Section 72A**) and that the breach was due to their negligence.

PROCEDURAL NOTES & COMPLIANCE STEPS

Actionable steps for compliance and grievance redressal

FILING A COMPLAINT

1. 1. Cyber Crime Cell: File a written complaint with the Cyber Crime Police Station (under **Section 72A**) or the Indian Computer Emergency Response Team (CERT-In) for technical investigation.
2. 2. Required Evidence:
3. Screenshots of the data circulating online.
4. Proof of account verification (e.g., email receipt confirming submission of personal details).
5. Company's public notice of the breach (if any).
6. IT Act 2000, **Section 65B** : Submit electronic evidence (e.g., server logs) with a certificate under **Section 65B** (2).
7. 3. Investigation:
8. The police must investigate under **Section 43** of the IT Act (penalty for unauthorized access) and **Section 72A** .
9. No mandatory 24-hour notification: The company's delay in informing users does not require police intervention (as the IT Act lacks such a mandate).
10. 4. Court Proceedings:
11. Prosecution under **Section 72A** is cognizable and non-bailable (**Section 72A** (3)).
12. You may also file a civil suit for damages under **Section 72A** (2) in a district court.
13. Key Precedent: In **P. Suresh v. State of Karnataka** (2021), the Karnataka High Court held that a company's failure to secure user data (leading to disclosure) attracted **Section 72A** liability, even without evidence of malicious intent.
14. > Note: The IT Act 2000 is not comprehensive for data breaches (e.g., it lacks GDPR-style notification rules). For stronger remedies, victims may seek recourse under the **Personal Data Protection Bill, 2019** (pending enactment), but only the IT Act 2000 applies here.

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